CHAPTER C-03

PRINCIPLES OF INSURANCE

Chapter Introduction

In this chapter, we discuss the principles, based on which the mechanism of insurance works.

a) Utmost Good Faith or "Uberrima fides" is defined as involving “a positive duty to voluntarily disclose, accurately and fully, all facts material to the risk being proposed, whether requested or not". All insurance contracts are based on the principle of Uberrima Fides

b) The existence of ‘Insurable Interest’ is an essential ingredient of every insurance contract and is considered as the legal pre-requisite for insurance.

c) Indemnity ensures that the insured is compensated to the extent of his loss on the occurrence of the contingent event.

d) Subrogation means the transfer of all rights and remedies, with respect to the subject matter of insurance, from the insured to the insurer.

e) The principle of contribution implies that if the same property is insured with more than one insurance company, the compensation paid by all the insurers together cannot exceed the actual loss suffered.

f) Proximate cause is a key principle of insurance and is concerned with how the loss or damage actually occurred and whether it is indeed as a result of an insured peril.

Learning Outcomes

A. Uberrima fides

B. Insurable Interest

C. Proximate Cause

D. Indemnity

E. Subrogation

F. Contribution

A. Uberrima Fides

Insurance contracts have various special features that are discussed below:

1. Utmost Good Faith or *'Uberrima Fides'*

Utmost Good Faith or "Uberrima fides", one of the fundamental principles of an insurance contract, is defined as "a positive duty to voluntarily disclose, accurately and fully, all facts material to the risk being proposed, whether requested or not".

All commercial contracts are based on Good Faith in so much as there shall be no fraud or deceit when giving information or doing the transaction. The rule observed here is that of **"Caveat Emptor"** which means **Buyer Beware**. The parties to the contract are expected to examine the subject matter of the contract and so long as one party does not mislead the other and the answers are given truthfully, there is no question of the other party avoiding the contract.

Insurance contracts stand on a different footing as the subject matter of the contract is intangible and cannot be easily known to the insurer. Again, there are many facts, which may be known only to the proposer. The insurer has to rely entirely on the proposer for information. Hence the proposer has a legal duty to disclose all material information about the subject matter of insurance to the insurers. That is, the insured should not make any misrepresentation regarding any fact that is material for the insurance contract. This higher obligation of full representation and full disclosure in respect of Insurance contracts makes them contracts of Utmost Good Faith.

If Utmost Good Faith is not observed by either party, the contract may be avoided by the other. This follows from the logic that no one should be allowed to take advantage of his own wrong especially while entering into a contract of insurance.

a) **Material fact** has been defined as a fact that would affect the judgment of an insurance underwriter in deciding whether to accept the risk and if so, the rate of premium and the terms and conditions. The insured has an obligation to fully and accurately disclose all facts that are material to an insurance contract.

   Whether an undisclosed fact was material or not would depend on the circumstances of the individual case and could be decided ultimately only in a court of law. The insured **has to disclose** facts that affect the risk.

   Material facts denote the information which enables the insurers to decide:

   - ✓ Whether they will accept the risk?
   - ✓ If so, at what rate of premium and subject to what terms and conditions?

   This legal duty of utmost good faith arises under common law. The duty applies not only to material facts which the proposer knows, but also extends to material

facts which he ought to know. There is a corresponding duty of the insurer not to withhold any information about the policy to the insured.

Example

The following are some examples of material information that the proposer should disclose while making a proposal:

i. **Life Insurance:** One's own medical history, family history of hereditary illnesses, habits like smoking and drinking, absence from work, age, hobbies, financial information like income details of proposer, pre-existing life insurance policies, occupation etc.

ii. **Fire Insurance:** Construction, location/ situation of risk and usage of building, age of the building, nature of goods in premises etc.

iii. **Marine Insurance:** Description of goods, method of packing and mode of transit etc.

iv. **Motor Insurance:** Description of vehicle, date of purchase and Regional Registration authority etc.

v. **Health Insurance:** Pre-existing disease, age etc.

b) **When a Fact becomes 'Material': Some types of material facts that one** needs to disclose are those indicating that the particular risk represents a greater exposure than can be normally expected.

Example

Hazardous nature of cargo being sent by a ship, past history of illness, past history burglary of a house.

i. Existence of policies taken from all insurers and their present status

ii. All questions in the proposal form or application for insurance are considered to be material, as these relate to various aspects of the subject matter of insurance and its exposure to risk. They need to be answered truthfully and be full in all respects.

The following are some scenarios wherein material facts need not be disclosed.

Information

a. **Material Facts that need not be disclosed:** Unless there is a specific enquiry by underwriters, the proposer has no obligation to disclose facts like:

i. **Measures implemented to reduce the risk. E.g.:** The presence of a fire extinguisher

ii. **Facts which the insured does not know or is unaware of. E.g.:** An individual, who had high blood pressure but was not aware about the same

at the time of taking the policy, cannot be charged with non-disclosure of this fact.

iii. **Which could be discovered, by reasonable diligence.** It is not necessary to disclose every minute material fact. The underwriters must be conscious enough to ask for the same if they require further information. E.g.: When insuring a textile shop one does not need to specifically say that some of the synthetic clothes in the shop are highly combustible.

iv. **Matters of law**: Everybody is supposed to know the law of the land. **E.g.:** Municipal laws about storing of explosives

v. **About which insurer appears to be indifferent (or has waived the need for further information)**

In such cases, the insurer cannot later disclaim responsibility on grounds that the answers were incomplete.

---

b. **Duty to Disclose:** In the case of insurance contracts, the duty to disclose is present throughout the entire period of negotiation until the proposal is accepted and a Life Insurance policy is issued.

Once the Life Insurance policy is accepted, there is no further need to disclose any material facts that may come up during the term of the policy.

Example

Mr. Rajan has taken a Life insurance policy for a term of fifteen years. Six years after taking the policy, Mr. Rajan has some heart problems and has to undergo some surgery. Mr. Rajan does not need to disclose this fact to the insurer.

[However, if the policy is in a lapsed condition because of failure to pay the premiums when due and the policy holder seeks to revive the policy contract and bring it back in force, he may, at the time of such revival, have the duty to disclose all facts that are material and relevant, as though it is a new policy.]

In the case he has Health Insurance, at the time of renewing the policy, Mr. Rajan has to inform the insurer about this health issue.

Similarly, in the case of General Insurance, at the time of renewing the Fire policy for an enterprise/ factory, the insured has to inform the insurer if a change was made in the occupancy of the building.

At the time of renewing the Hull policy for a ship, the insured has to inform the insurer if the ship was modified to carry a different type cargo; say, hazardous chemicals instead of pulses.

c. **Situations of Non-Disclosure** may arise when the insured is silent about material facts because the insurer has not raised any specific enquiry. Such situations may also arise through evasive answers to queries raised by the insurer.

Often non-disclosure may be inadvertent (meaning that it may be made without one's knowledge or intention) or because the proposer thought that a fact was not material. In such a case it is innocent.

When a fact is intentionally suppressed it is treated as concealment. Here, there is the intent to deceive.

d. **Misrepresentation:** Any statement made during negotiation of a contract of insurance is called representation. A representation may be a definite statement of fact or a statement of belief, intention or expectation. It is expected that the statement must be substantially correct. Representations that concern matters of belief or expectation must be made in good faith. Misrepresentation is of two kinds:-

   i. **Innocent Misrepresentation** relates to inaccurate statements, which are made without any fraudulent intention.

   ii. **Fraudulent Misrepresentation** on the other hand refers to false statements that are made with deliberate intent to deceive the insurer or are made recklessly without due regard for truth.

   An insurance contract generally becomes void when there is a clear case of concealment with intent to deceive, or when there is fraudulent misrepresentation.

   Amendments (March, 2015) to Insurance Act, 1938 have provided certain guidelines about the conditions under which a policy can be called into question for fraud. The new provisions are as follows

e. **Fraud:** The term "Fraud" has been specified under **Section 45 (2) of the Insurance Act (amended in 2015).** Accordingly, a Life Insurance policy can be called in question on the ground of Fraud by the insurer only within a time period and not later. However, Insurers can do so only within three years from (a) the date of issuance of the policy (b) the date of commencement of risk, (c) the date of revival of the policy or (d) the date of the rider to the policy, whichever is later.

   The insurer needs to communicate the reasons on which the policy is questioned in writing to the insured or his/ her legal representatives, nominees or assignees.

   The expression "fraud" means any act committed by the insured, with the intent to deceive the insurer or to induce the insurer to issue an insurance policy. It is also provided that in case the policyholder is not alive, the onus of disproving fraud, lies upon the beneficiaries.

B. Insurable interest

The existence of 'insurable interest' is an essential ingredient of every insurance contract and is considered as the legal pre-requisite for insurance.

Three essential elements of insurable interest:

i. There must be property, right, interest, life or potential liability capable of being insured.

ii. Such property, right, interest, life or potential liability must be the subject matter of insurance.

iii. The insured must bear a legal relationship to the subject matter such that he stands to benefit by the safety of the property, right, interest, life or freedom of liability. By the same token, he must stand to lose financially by any loss, damage, injury or creation of liability.

Let us see how insurance differs from a gambling or wager agreement.

a) **Gambling and insurance:** Unlike a card game, where one could win or lose, a fire can have only one consequence – loss to the owner of the house.

   The owner takes insurance to ensure that the loss suffered is compensated for in some way.

   In other words, Insurable Interest is the interest the insured has in the subject matter of insurance. Insurable interest makes an insurance contract valid and enforceable under the law.

Example

If Mr. Patel has brought a house with a mortgage loan of Rs 15 lakhs from a bank and he has repaid 12 lakhs of this amount, the bank's interest would be only to the tune of the balance three lakhs which is outstanding.

Thus the bank also has an insurable interest financially in the house for the balance amount of loan that is unpaid and would ensure that it is made a co insured in the policy

Mr. Patel owns a house for which he has taken a mortgage loan of Rs. 15 lakhs from a bank. Ponder over the questions below:

- ✓ Does he have an insurable interest in the house?
- ✓ Does the bank have an insurable interest in the house?
- ✓ What about his neighbour?

Mr. Dass has a family consisting of spouse, two kids and old parents. Ponder over the below questions:

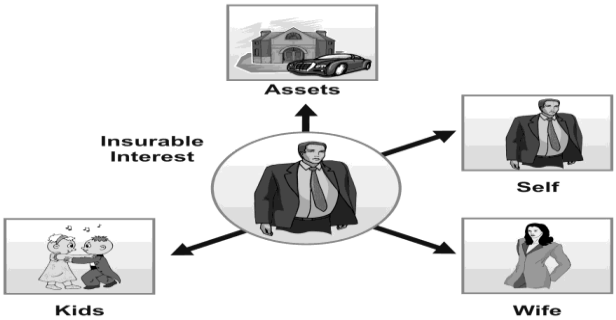
- ✓ Does he have an insurable interest in their well-being?
- ✓ Does he stand to financially lose if any of them are hospitalised?
- ✓ What about his neighbour's kids? Would he have an insurable interest in them?

It would be relevant here to make a distinction between the subject matter of insurance and the subject matter of an insurance contract.

The subject matter of insurance relates to property being insured against, which has an intrinsic value of its own.

The subject matter of an insurance contract on the other hand is the insured's financial interest in that property. It is only when the insured has such an interest in the property that he/ she has the legal right to insure. The insurance policy in the strictest sense covers not the property per se, but the insured's financial interest in the property.

Diagram 1: Insurable interest according to common law



b) **Time when insurable interest should be present:** In life insurance, insurable interest should be present at the time of taking the policy. In general insurance, insurable interest should be present both at the time of taking the policy and at the time of claim with some exceptions like marine policies in which case it must exist at the time of claim.

In case of fire and accident insurance, insurable interest should be present both at the time of taking the policy and at the time of loss.

In case of health and personal accident insurance apart from self, family can also be insured by the proposer since he/ she stands to incur financial losses if the family meets with an accident or undergoes hospitalisation. However, in marine cargo insurance, insurable interest is required only at the time of loss as the ownership of the goods would change hands when the cost is paid, which can happen during the period of transit.

C. Proximate Cause

Proximate cause is a key principle of insurance and is concerned with how the loss or damage actually occurred and whether it is as a result of an insured peril. If the loss has been caused by the insured peril, the insurer is liable. If the immediate cause is an insured peril, the insurer is bound to make good the loss, otherwise he is not. This application of principle is practically more in respect of non-life insurance claims.

When a loss occurs, there can often be a series of events leading up to the incident and so it is sometimes difficult to determine the nearest or proximate cause. Under this rule, the insurer looks for the predominant cause which sets into motion the chain of events producing the loss. This may not necessarily be the last event that immediately preceded the loss i.e. it is not necessarily an event which is closest to, or immediately responsible for causing the loss. For example, a fire might cause a water pipe to burst. Despite the resultant loss being water damage, the fire would still be considered the proximate cause of the incident. Other causes may be classified as remote causes, which are separate from proximate causes. Remote causes may be present but are not effectual in causing an event.

Definition

Proximate cause is defined as the active and efficient cause that sets in motion a chain of events which brings about a result, without the intervention of any force started and working actively from a new and independent source.

How does the principle of proximate cause apply to insurance contracts? Since insurance provides for payment of a death benefit, regardless of the cause of death, the principle of proximate cause would not usually apply. However many insurance contracts may also have an accident benefit add-on wherein an additional sum assured is payable in the event of accidental death. In such a situation, it becomes necessary to ascertain the cause - whether the death occurred as a result of an accident. The principle of proximate cause would become applicable in such instances.

To understand the principle of proximate cause, consider the following situation:

Example

Scenario 1: Mr. Ajay had parked his car in the garage and gone on a long vacation. Six months later, when he came back and started the car, he noticed that the air-conditioning of the car was not working. Mr. Ajay filed a claim with the insurance company for the cost of repairing the air-conditioning and the insurance company rejected the claim. The reason given by the insurance company was that the damage was due to the 'normal wear and tear' of the car and the air-conditioning system, which was an excluded peril in the insurance policy. Mr Ajay approached the Court and after examining the survey report which said that the car was 12 years old and neither the car nor the air-conditioning had been serviced/ repaired during the previous 6 years, the damage was due to the 'normal wear and tear' and the insurance company was not liable to pay the claim.

Scenario 2: Mr. Pinto, while riding a horse, fell on the ground and had his leg broken, he was lying on the wet ground for a long time before he was taken to hospital. Because of lying on the wet ground, he had fever that developed into pneumonia, finally dying of this cause. Though pneumonia might seem to be the

immediate cause, in fact it was the accidental fall that emerged as the proximate cause and the claim was paid under personal accident insurance.

There are certain losses which are suffered by the insured as a result of fire but which cannot be said to be proximately caused by fire. In practice, some of these losses are customarily paid by business under fire insurance policies.

Example of such losses can be –

- ✓ Damage to property caused by water used to extinguish fire
- ✓ Damage to property caused by fire brigade in execution of their duty
- ✓ Damage to property during its removal from a burning building to a safe place

Test Yourself 1

Mr. Pinto contracted pneumonia as a result of lying on wet ground after a horse riding accident. The pneumonia resulted in death of Mr. Pinto. What is the proximate cause of the death?

I. Pneumonia
II. Horse
III. Horse riding accident
IV. Bad luck

D. Indemnity

The Principle of Indemnity is applicable to Non-life insurance policies. **It means that the policyholder, who suffers a loss, is compensated so as to put him or her in the same financial position as he or she was before the occurrence of the loss event**. The insurance contract guarantees that the insured would be indemnified or compensated up to the amount of loss and no more.

The philosophy is that one should not make a profit through insuring one's assets and recovering more than the loss. The insurer would assess the economic value of the loss suffered and compensate accordingly.

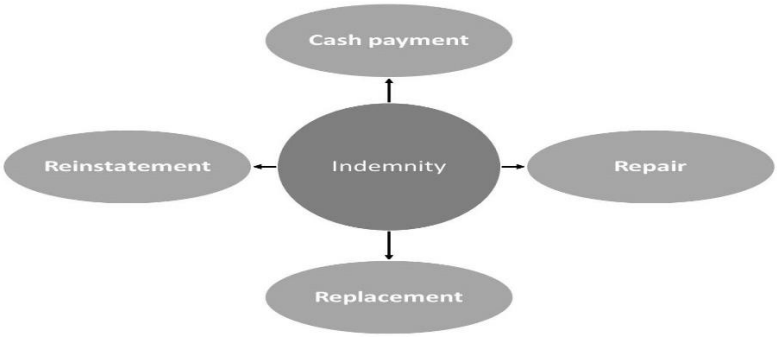
Example

Ram has insured his house, worth Rs. 10 lakhs, for the full amount. He suffers loss on account of fire estimated at Rs. 70,000. The insurance company would pay him an amount of Rs. 70,000. The insured can claim no further amount.

The indemnity to be paid would depend on the type of insurance one takes.Indemnity might take one or more of the following modes of settlement:

- ✓ Cash payment
- ✓ Repair of a damaged item
- ✓ Replacement of the lost or damaged item
- ✓ Reinstatement (Restoration). E.g. Rebuilding a house destroyed by fire

Diagram 2: Indemnity



a) **Agreed Value:** However, there is some subject matter whose value cannot be easily estimated or ascertained at the time of loss. For instance, it may be difficult to put a price in the case of family heirlooms or rare artefacts. Similarly in marine insurance policies it may be difficult to estimate the extent of loss suffered in a ship accident half way around the world.

   In such instances, a principle known as the 'Agreed Value' is adopted. The insurer and insured agree on the value of the property to be insured, at the beginning of the insurance contract. In the event of total loss, the insurer agrees to pay the agreed amount of the policy. This type of policy is known as "**Agreed Value Policy**".

b) **Underinsurance:** Consider a situation now where the property has not been insured for its full value. One would then be entitled to indemnity for loss only in the same proportion as one's insurance.

   Suppose the house, worth Rs. 10 lakhs has only been insured for a sum of Rs. 5 lakhs. If the loss on account of fire is Rs. 60,000, one cannot claim this entire amount. It is deemed that the house owner has insured only to the tune of half its value and he is thus entitled to claim just 50% [Rs. 30,000] of the amount of loss. This is known as underinsurance.

   In most types of non-life insurance policies, which deal with insurance of property and liability, the insured is compensated to the extent of actual amount of loss i.e. the amount of money needed to replace lost or damaged property at current market prices less depreciation.

E. Subrogation

Subrogation means the transfer of all rights and remedies with respect to the subject matter of insurance, from the insured to the insurer. Subrogation follows from the principle of Indemnity. Hence, it is often called a 'corollary' of Indemnity.

In other words, if an insured suffers a loss and the loss has been indemnified by the insurer, the insured's right to get compensated by any third party for that loss,

would get shifted to the insurer. Note that the amount of damage that can be collected by the insurance company is only to the extent of the amount paid by the insurance company.

Important

Subrogation: It is the process an insurance company uses to recover claim amounts paid to a policy holder from a negligent third party.

Subrogation can also be defined as surrender of rights by the insured to an insurance company that has paid a claim against the third party.

Example

Mr. Kishore's household goods were being carried in Sylvain Transport service. They got damaged due to driver's negligence, to the extent of Rs. 45,000 and the insurer paid an amount of Rs. 30,000 to Mr. Kishore. The insurer stands subrogated to the extent of only Rs. 30,000 and collect that amount from Sylvain Transports.

In case the matter went into litigation and the Court directed Sylvain Transports to pay Rs.35,000 as compensation to Mr. Kishore, he is liable to pay the insurer the claim amount of Rs 30,000 under the subrogation clause, and to keep the balance amount of Rs 5,000 with himself.

The Subrogation Clause prevents the insured from collecting more than the loss - from the insurance company and from any third party. Subrogation arises only in case of contracts of indemnity and not against benefit policies like Life Insurance Policy or Personal Accident Policy.

Example

Mr. Suresh dies in an air crash. His family is entitled to collect the full Sum Assured of Rs 50 lakhs from the insurer who has issued a Personal Accident Policy plus the compensation paid by the airline, say, Rs 15 lakhs.

F. Contribution:

Like Subrogation, 'Contribution' also follows from the Principle of Indemnity. Hence, it is also called a 'corollary' of Indemnity. Contribution is a principle that arises in general insurance contracts. It tells us how the liability is to be met when the insured has taken insurance from more than one insurer. Contribution implies that if the same property is insured with more than one insurance company, the compensation paid by all the insurers together cannot exceed the actual loss suffered. The policy holder can claim from each of the insurers only a portion of the loss in proportion to the amount insured with each.

Example: If Mr Srinivas has taken a fire policy on his house with two insurance companies, with both of whom, he insured for the full value of Rs.12 lakhs. Suppose

a fire breaks out and he suffers a loss of Rs 3 lakhs as a result, he can claim an amount of Rs 1.5 lakhs from each of the insurers.

The Principle of Contribution applies only to indemnity policies. It does not arise in the case of Life Insurance, because there is no upper limit that can be placed on the losses suffered when there is a loss of life.

Test Yourself 2

Which among the following is an example of coercion?

I. Ramesh signs a contract without having knowledge of the fine print
II. Ramesh threatens to kill Mahesh if he does not sign the contract
III. Ramesh uses his professional standing to get Mahesh to sign a contract
IV. Ramesh provides false information to get Mahesh to sign a contract

Test Yourself 3

Which among the following options cannot be insured by Ramesh?

I. Ramesh's house
II. Ramesh's spouse
III. Ramesh's friend
IV. Ramesh's parents

Test Yourself 4

What is the significance of the principle of contribution?

I. It ensures that the insured also contributes a certain portion of the claim along with the insurer
II. It ensures that all the insured who are a part of the pool, contribute to the claim made by a participant of the pool, in the proportion of the premium paid by them
III. It ensures that multiple insurers covering the same subject matter; come together and contribute the claim amount in proportion to their exposure to the subject matter
IV. It ensures that the premium is contributed by the insured in equal instalments over the year.

Summary

- The special features of insurance policies include:
    i. Uberrima fides,
    ii. Insurable interest,
    iii. Proximate cause,
    iv. Indemnity
    v. Subrogation

vi. Contribution

Key Terms

1. Non-Disclosure
2. Misrepresentation
3. Material facts
4. Agreed Value
5. Under Insurance

Answers to Test Yourself

Answer 1 - The correct option is III
Answer 2 - The correct option is II
Answer 3 - The correct option is III
Answer 4 - The correct option is III